Markets in Financial Instruments Directive (MiFID) Introduction MiFID (specifically MiFID II, which updated MiFID I) is a comprehensive piece of EU legislation that governs investment services and financial markets across the European Economic Area (EEA). Purpose: To create a single, harmonized market for investment services in the EU, increase competition, and ensure a high degree of protection for investors. Key Changes Introduced by MiFID II: Investor Protection: Strengthened requirements around conflicts of interest, client asset protection, and product governance. It also mandates distinguishing between independent and non-independent advice. Market Structure: Introduced new types of trading venues, such as the Organised Trading Facility (OTF), alongside existing Regulated Markets and Multilateral Trading Facilities (MTFs). Increased Transparency: Extended pre- and post-trade transparency requirements to non-equity instruments (like bonds and derivatives), which were previously limited mainly to shares. Client Categorization: Firms must categorize clients (e.g., Retail Client, Professional Client, Eligible Counterparty), with Retail Clients receiving the greatest level of protection. Appropriateness/Suitability: Firms must assess a client's knowledge and experience to determine if a product or service is appropriate for them, and for advisory services, if it is suitable.